3. **Deriving deviations:** While comparing the actual with standard we can find out deviations. Corrections in deviation should be made. Thus it would be useful for attainment of the goal.
4. **Take Corrective action:** Managers can correct deviations by modifying their goals . The reason for the deviations should be identified and appropriate corrective action should be taken to rectify the deviations. The corrective actions are generally taken by top management.

9.6 Importance of Controlling

1. **Helps in achieving the objectives:** Controlling ensures that the results of the operations are closely associated with the pre determined objectives. Every organisation sets a plan and reviews it periodically. Controlling helps to correct the deviations between the standard and actual. Mistakes are located and helps to achieve the objectives laid down in the plan for action.
2. **Efficient use of resources:** Controlling helps the manager to prevent the wastage of resources and ensure the proper utilization of it.
3. **Helps in better planning:** Planning and controlling are closely interrelated and they are the important functions of management. Planning provides purpose and direction of activities while controlling shows the process of checking the performance against the standard in the plans.
4. **Improve Employees Morale:** Controlling helps the employees to know well in advance what is expected to do and the standard fixed for performance. It helps them to perform well and earn rewards such attitude help the employees morale at high level.
5. **Helps in Decision making:** Manager have to identify and solve the problems before the situation become worse. Timely reports helps the manager to determine how the activities can be performed and the remedial steps to be taken. In short controlling help the managers to identify the gap between thinking and doing the activities.

Prerequisites of Effective Controlling:

Effective control system must have :

1. **Feedback:** Feedback is the process of adjusting the future action based on the information regarding past performance. If the management follows feedback practises the control process will be easy.
2. **Objectives:** Control should be objective i.e. there must be certainty of control.
3. **Suitability:** The control system should confirm to the nature of deviations. The control techniques can be used if there is any need.
4. **Reporting:** The deviation from the standard should be informed and action should be taken without any delay.
5. **Forward looking**: Effective control system must focus on future actions i.e. the control system should help in planning.
6. **Pointing Out Exceptions:** The control system points out the deviation. All the deviations do not have equal impact. Control system can give more attention to the deviation having high impact. Thus

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